Reserve Bank of india

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Introduction

✓ The Reserve Bank of India (RBI) is the central bank of India.

✓ It was established on 1st April 1935 under the RBI Act, 1934.

✓ It plays a crucial role in managing India's monetary policy and financial system.

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Director,

Department of Employment and Training.

History:

- Formed on April 1, 1935 in accordance with the RBI Act, 1934
- Osborne Smith was the first Governor of RBI
- Nationalized on January 1, 1949 (Fully owned by GOI)
- Headquarter moved from Calcutta to Mumbai in 1937

1.A central bank, reserve bank, or monetary authority is an institution that manages a state's currency, money supply, and interest rates. Central banks also usually oversee the commercial banking system of their respective countries.

2.The process of issuing paper currency was started in the 18th century. Private Banks such as the bank of Bengal the bank of Bombay and the Bank of Madras – first printed paper money.

3.The first rupee was introduced by Sher Shah Suri based on a ratio of 40 copper pieces (paisa) per rupee. The name was derived from the Sanskrit word Raupya, meaning silver. Each banknote has its amount written in 17languages (English and Hindi on the front and 15 others on the back) illustrating the diversity of the country

Administration



Distinction between central banks and commercial banks

The central bank is basically different from commercial banks in the following respects.

The central bank is the apex institution of the monetary and banking system of the country. A commercial bank is only a constituent unit of the banking system and a subordinate to the central bank.	While the central bank possesses the monopoly of note-issue, commercial banks do not have this right.	The central bank is not a profit making institution. Its aim is to promote the general economic policy of the government. But, the primary objective of commercial banks is to earn profit for their shareholders.	The central bank maintains the foreign exchange reserves of the country. The commercial banks only deal in foreign exchange under the directions of the central bank.	The central bank is an organ of the government and acts as its banker and the financial advisor, whereas commercial banks act as advisors and bankers to the general public only

Functions:

1. Monetary Authority	•It controls the supply of money in the economy to stabilize exchange rate, maintain healthy balance of payment, attain financial stability, control inflation, strengthen banking system
2.The issuer of currency	•The objective is to maintain the currency and credit system of the country. It is the sole authority to issue currency. It also takes action to control the circulation of fake currency
3. The issuer of Banking License	•As per Sec 22 of Banking Regulation Act, every bank has to obtain a banking license from RBI to conduct banking business in India
4. Banker to the Government	•It acts as banker both to the central and the state governments. It provides short term credit. It manages all new issues of government loans, servicing the government debt outstanding and nurturing the market for government securities. It advises the government on banking and financial subjects
5. Banker's Bank	•RBI is the bank of all banks in India as it provides loan to banks, accept the deposit of banks, and rediscount the bills of banks.
6. Lender of last resort	•The banks can borrow from the RBI by keeping eligible securities as collateral at the time of need or crisis, when there is no other source
7. Act as clearing house	•For settlement of banking transactions, RBI manages 14 clearing houses. It facilitates the exchange of instruments and processing of payment instructions.
8. Custodian of foreign exchange reserves	•It acts as a custodian of FOREX. It administers and enforces the provision of Foreign Exchange Management Act (FEMA), 1999. RBI buys and sells foreign currency to maintain the exchange rate of Indian rupee v/s foreign currencies

9. Regulator of Economy

- It controls the money supply in the system, monitors different key indicators like GDP, Inflation, etc

10. Managing Government securities

- : RBI administers investments in institutions when they invest specified minimum proportions of their total assets/liabilities in government securities

11. Regulator and Supervisor of Payment and Settlement Systems

- The Payment and Settlement Systems Act of 2007 (PSS Act) gives RBI oversight authority for the payment and settlement systems in the country. RBI focuses on the development and functioning of safe, secure and efficient payment and settlement mechanisms

12. Developmental Role

- This role includes the development of the quality banking system in India and ensuring that credit is available to the productive sectors of the economy. It provides a wide range of promotional functions to support national objectives. It also includes establishing institutions designed to build the country's financial infrastructure. It also helps in expanding access to affordable financial services and promoting financial education and literacy.

13. Publisher of monetary data and other data:

- RBI maintains and provides all essential banking and other economic data, formulating and critically evaluating the economic policies in India. RBI collects, collates and publishes data regularly.

14. Exchange manager and controller

- RBI represents India as a member of the International Monetary Fund [IMF]. Most of the commercial banks are authorized dealers of RBI.

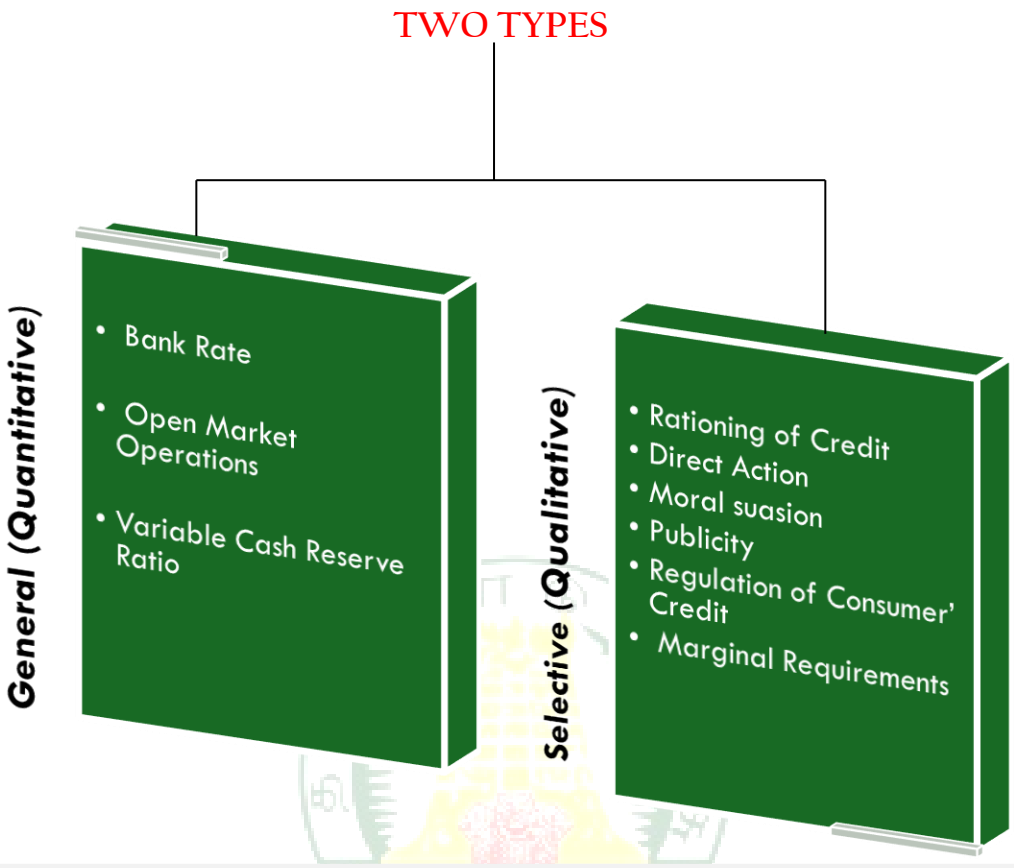
15. Banking Ombudsman Scheme

- RBI introduced the Banking Ombudsman Scheme in 1995. Under this scheme, the complainants can file their complaints in any form, including online and can also appeal to the Ombudsman against the awards and the other decisions of the Banks.

16. Banking Codes and Standards Board of India

- To measure the performance of banks against Codes and standards based on established global practices, the RBI has set up the Banking Codes and Standards Board of India (BCSBI)

Credit Control Measures



The Repo Rate and the Reverse Repo Rate are the frequently used tools with which the RBI can control the availability and the supply of money in the economy. RR is always greater than RRR in India

The rate at which the RBI is willing to lend to commercial banks is called Repo Rate. Whenever banks have any shortage of funds they can borrow from the RBI, against securities. If the RBI increases the Repo Rate, it makes borrowing expensive for banks and vice versa. As a tool to control inflation, RBI increases the Repo Rate, making it more expensive for the banks to borrow from the RBI. Similarly, the RBI will do the exact opposite in a deflationary environment

The rate at which the RBI is willing to borrow from the commercial banks is called reverse repo rate. If the RBI increases the reverse repo rate, it means that the RBI is willing to offer lucrative interest rate to banks to park their money with the RBI. This results in a decrease in the amount of money available for banks customers as banks prefer to park their money with the RBI as it involves higher safety. This naturally leads to a higher rate of interest which the banks will demand from their customers for lending money to them

Role of RBI in agricultural credit

RBI has been playing a very vital role in the provision of agricultural finance in the country. The Bank's responsibility in this field had been increased due to the predominance of agriculture in the Indian economy and the inadequacy of the formal agencies to cater to the huge requirements of the sector. In order to fulfill this important role effectively, the RBI set up a separate Agriculture Credit Department. However, the volume of informal loans has not declined sufficiently

Functions of Agriculture Credit Department



With the establishment of National Bank for Agriculture and Rural Development (NABARD), all the functions of the RBI relating to agricultural credit had been taken over and looked after by NABARD since 1982. Since then, all activities relating to rural credit are entirely looked after by NABARD.